



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
980 9th Street, Suite 500
Sacramento, CA 95814
Phone: 916-324-8176 | Fax: 916-255-5241
www.DMHC.ca.gov

April 6, 2026

VIA ELECTRONIC MAIL

Evan Escobar
Blue Cross of California Partnership Plan, Inc.
21215 Burbank Boulevard
Woodland Hills, CA 91367

Re: Proposed Contract Termination with O'Connor Hospital
Block Transfer Filing No. 2026-HOSP-89
Filed on March 16, 2026

Dear Mr. Escobar:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California Partnership Plan, Inc.** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **O'Connor Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. In the Plan's response to the Department's initial comment letter, the Plan stated that "O'Connor Hospital provides certain high-level services, including burn care." Please confirm if O'Connor Hospital provides other high-level specialty services other than burn care.
2. In the Plan's response to the Department's initial comment letter, the Plan stated that "post-termination, enrollees requiring burn services will be redirected to contracted facilities within the Anthem Medi-Cal network that provide equivalent burn care services, ensuring continued access within regulatory time and distance

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standards.” Can the Plan please specify which Alternate Hospitals will provide burn care services?

3. In the Plan’s response to the Department’s initial comment letter, the Plan states that it will correct and confirm that utilization associated specifically with the terminating hospital is minimal and accurately reflected in the revised filing. Please provide an update regarding this correction.

Please submit the Plan’s response by **April 13, 2026**, via the Block Transfer portal as a “Response to Comment Letter.”

Please contact me if there are any questions regarding the above.

Sincerely,

A handwritten signature in black ink, appearing to read "Stacie", followed by a large, stylized flourish or initial.

Stacie Litovchenko
Analyst II
Office of Plan Monitoring